



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

8th Floor, Chater House, 8 Connaught Road Central, Hong Kong

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Our Ref : SFO/IS/021/2003

11 September 2003

**Circular to Licensed Corporations
which are licensed solely for Types 4, 5, 6 and/or 9 regulated activities**

Compliance with the Securities and Futures (Financial Resources) Rules

This circular is to remind Licensed Corporations which are licensed solely for one or more of the following:

- (a) Type 4 regulated activity;
- (b) Type 5 regulated activity;
- (c) Type 6 regulated activity;
- (d) Type 9 regulated activity,

that the transitional period provided under the Securities and Futures (Financial Resources) Rules ("the Rules") is due to expire on 30 September 2003.

From 1 October 2003, these licensed corporations shall need to fully comply with the Rules which, include, inter alia, the following new requirements:

- (a) the minimum liquid capital requirement -
 - (i) \$3,000,000 for licensed corporations that are not subject to the specified licensing condition^{*}; and
 - (ii) \$100,000 in any other case;
- (b) the minimum paid up share capital requirement –
 - (i) \$5,000,000 for licensed corporations that are not subject to the specified licensing condition;

^{*} specified licensing condition requires that the licensed corporation shall not hold client assets.



- (c) the submission of financial return requirement -
 - (i) at monthly interval for licensed corporations that are not subject to the specified licensing condition; and
 - (ii) in respect of June and December in any other case.

Given that the basis of the liquid capital computation may be considered quite complex, you should immediately start to familiarize yourselves with the said computation basis if you have not already done so.

We also take this opportunity to remind you that failure to comply, and failure to ascertain compliance, with the liquid capital requirement or the paid-up share capital requirement has serious consequence under section 146 of the Securities and Futures Ordinance.

In view of the above, you are strongly urged to make necessary arrangements to ensure full compliance with the Rules as from 1 October 2003.

Should you have any queries on the above, please contact your responsible case officer of the Intermediaries Supervision Department.

Intermediaries Supervision Department
Intermediaries and Investment Products Division
Securities and Futures Commission